Lula will regulate tech mostly by decree

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President Luiz Inacio Lula da Silva will keep digital sovereignty a pillar of his fourth term, while spreading his bets between US and Chinese suppliers to preserve access to frontier technology as the geopolitical environment allows.
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Companies should expect more local content and compliance demands and a larger but slow public procurement pipeline, though scarce public resources, a fiscal adjustment, and a tech agenda fragmented across ministries will limit the upside.
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A more conservative congress will block punitive social media rules but will likely pass the digital markets bill in 2026 and delay AI regulation to 2027.

Trade-off between sovereignty and access will frame Lula’s tech decisions. The administration will continue pursuing the same two balances it maintained during Lula’s current term: one between the US and other suppliers, and another between foreign dependence and domestic capacity. The supercomputing plan under the Brazilian AI Plan (PBIA) shows this approach. It pairs a tender likely to go to a US supplier, potentially Nvidia, with a Huawei-iFlytek partnership to build national large language models. Reducing reliance on US technology will be slow, reflect supplier diversification rather than an explicit geopolitical pivot toward China, and extend to data centers, the government cloud, and digital platforms. Companies should expect more local content and compliance requirements, along with closer scrutiny from regulators and the Federal Court of Accounts. US suppliers will remain favored, but Chinese competitors will slowly gain ground.

The executive will drive digital regulation with tools already in hand. Facing a more hostile congress and declining popularity through 2027, Lula will sidestep the Legislative when possible. Regulatory risk will shift toward ministries and regulators, and rules will come faster and with less debate. The 2025 supreme court ruling on platform liability under the Internet Civil Rights Framework (Law 12,965/2014) underpinned two May decrees that created a duty of care and gave the National Data Protection Agency

(ANPD) oversight of platforms.

Further measures will include rules on digital advertising, amid complaints of algorithmic bias in the 2026 elections, and Lula has promised a national center for algorithmic transparency. From January 2027, the ANPD, now a full regulatory agency, will be able to fine app stores, operating systems, and platforms under the child online safety law (ECA Digital). The court's role will hinge on the February election for senate speaker. If Davi Alcolumbre remains in the post, impeachment threats against supreme court justices will weaken. Either way, Justices Gilmar Mendes, Alexandre de Moraes, and Flavio Dino will likely keep pressuring the platforms.

Congress will slow the digital policy agenda, not block it. Right and center-right parties will become the majority in both congressional chambers from 2027, but will not present an insurmountable barrier. Lula will likely keep using social media to press legislators directly. His good ties with Alcolumbre and Lower House Speaker Hugo Motta, both favored to keep their posts in 2027, should help him move parts of his agenda. Issues that move public opinion, such as child safety and online scams, could still advance. The digital markets bill could reach a floor vote before the end of 2026, while the AI bill waits for the new congress. Legislators will block the most punitive platform proposals, which the opposition frames as censorship.

Digital infrastructure investments will continue with more conditions. The administration expects to issue rules for REDATA, the special tax regime for data centers, after Lula returns from COP31 and the ASEAN summit in mid-November. Officials disagree on secondary rules, such as natural gas use, and the finance ministry wants conditions attached to the tax breaks. The PBIA will advance, but slowly. A fiscal adjustment in 2027 will rule out any significant increase in public funding, keeping Brazil behind other middle powers: South Korea's proposed AI budget for 2027 alone is about 3.5 times the PBIA's four-year allocation. The VAT transition will also require companies to adapt systems and contracts, particularly for the split payment framework, which phases in from 2027 and becomes mandatory in 2028.

Brazil's tech agenda will likely increase friction with Washington. US-Brazil ties will likely stabilize, but tech could become the exception (see: US-Brazil relations likely to stabilize , 6 November 2026). Platform regulation is the first point of friction: Washington took Section 301 action against Brazil's digital trade and electronic payment practices in July, and the digital markets bill has entered bilateral trade talks. The second is Brazil's tech ties with China. Brazil joined the China-led World AI Cooperation Organization (WAICO) but stayed out of the US-led Pax Silica, just as China hawks gain ground in Washington after the midterms. Tighter US export controls, increasingly likely to pass the US Congress this year, and a crackdown on remote access to advanced chips could slow data center buildout in Brazil, already at the back of the queue for frontier hardware.

Governance of the digital agenda will determine the payoff. In Lula's third term, separate groups across ministries handled digital issues, slowing decisions and scattering efforts. Whether Lula's new cabinet (which he will likely appoint after he returns to the country in mid-November) closes this gap is a key signpost. The posts below matter most:

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